Bright Autocomp Private Limited

Maximum Withdrawal Plan

How the shareholders extract the maximum amount, tax-efficiently. Based on the actual audited FY2024-25 balance sheet (figures converted from Rs.'00). Planning note, not tax advice.

1. The key point - most of the money is a LOAN, not equity

The balance sheet shows Rs.1,54,25,000 as "Short-term borrowings - loan repayable on demand from related parties" (Note 7). This is the shareholders' own money, recorded as a loan to the company (because the directors differed from the shareholders). The company is the BORROWER; the shareholders are the LENDERS.

Repayment of a genuine loan is simply return of principal - it is NOT income and NOT taxable in the lender's hands. No dividend, no capital gains. So this Rs.1.54 cr can be withdrawn TAX-FREE, without liquidation or conversion.

2. Withdrawal map - what is tax-free and what is taxed

Amount held for shareholders	Rs.	Tax on withdrawal
Loan from related parties (Note 7)	**Rs. 15,425,000**	**TAX-FREE - loan repayment**
Paid-up share capital	**Rs. 100,000**	**TAX-FREE - return of capital**
Reserve & Surplus (accumulated profits)	Rs. 5,189,668	TAXABLE - dividend / slab
TOTAL potentially extractable	**Rs. 20,714,668**	

Of about Rs. 20,714,668 available to the shareholders, Rs. 15,525,000 (loan + capital) can come out TAX-FREE, and only the Rs. 5,189,668 of reserves is exposed to tax.

3. The real constraint is CASH, not tax

Funding the Rs.1.54 cr loan repayment	Rs.
Cash & bank balances on hand	Rs. 6,176,195
Trade receivables (collect)	Rs. 277,460
Fixed deposit	Rs. 24,430
Liquid funds available now	Rs. 6,478,085
Loan to be repaid	Rs. 15,425,000
Funding gap to arrange	**Rs. 8,946,915**

About Rs. 6,478,085 can be repaid straight away from existing cash and receivables. The remaining ~Rs. 8,946,915 must be funded from ongoing rental/operating income over time, or by monetising the Manesar land (book Rs. 14,574,847). Repaying the loan is tax-free; the only tax question is IF the land is SOLD to raise cash - that sale attracts capital-gains tax on any gain over cost.

4. Recommended structure

- Step 1 - Repay ~Rs. 6,478,085 now from cash + receivables (tax-free).
- Step 2 - Fund the balance ~Rs. 8,946,915 from rental/operating cash flows over 1-2 years, so the land need not be sold and no capital-gains tax arises.
- Step 3 - If the shareholders also want the land value out, convert to an LLP under Sec 47(xiiib) (the company QUALIFIES - turnover under Rs.60L, assets under Rs.5 cr). The loan carries over to the LLP and the LLP repays it tax-free; the Rs.51.9L reserves are drawn as interest on capital, remuneration and tax-free profit share over time.
- Avoid liquidation: it would tax the reserves as deemed dividend and the land gain at the company - the opposite of the goal.

5. Compliance & risk checks (discuss with your CA)

- GENUINENESS: the loan must be a bona fide, documented liability (loan confirmations, both parties' books, and evidence of how the capital came to be recorded as a loan). If that reclassification was not done through a proper legal mechanism, the tax officer could challenge the repayment. Keep the paper trail.
- Sec 269T: repay a loan of Rs.20,000+ only by account-payee cheque / bank / electronic transfer - NOT cash - else 100% penalty u/s 271E.
- Sec 2(22)(e) does NOT apply here: it deems a dividend when a company LENDS to a shareholder. Here the shareholders lent to the company; repaying them is outside 2(22)(e).
- Interest on the loan is taxable to shareholders at slab and deductible for the company/LLP (within 12% for a partner loan post-conversion).
- Planning note, not tax advice - validate every step with your CA before acting.